

Financial Report

UNITED HEALTH GROUP



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Company Overview



UnitedHealth Group is a diversified health care leader dedicated to improving health systems and patient outcomes. Founded in 1977 and headquartered in Minnesota, it stands as the world's largest healthcare company by revenue.

Mission

To help people live healthier lives and make the health system work better for everyone

Core values:

Integrity, Inclusion, Compassion,
Relationships, Innovation, and Performance

Business Structure

OPTUM - A patient-centered platform providing tech-enabled health services, data analytics, and clinical research to improve care delivery.

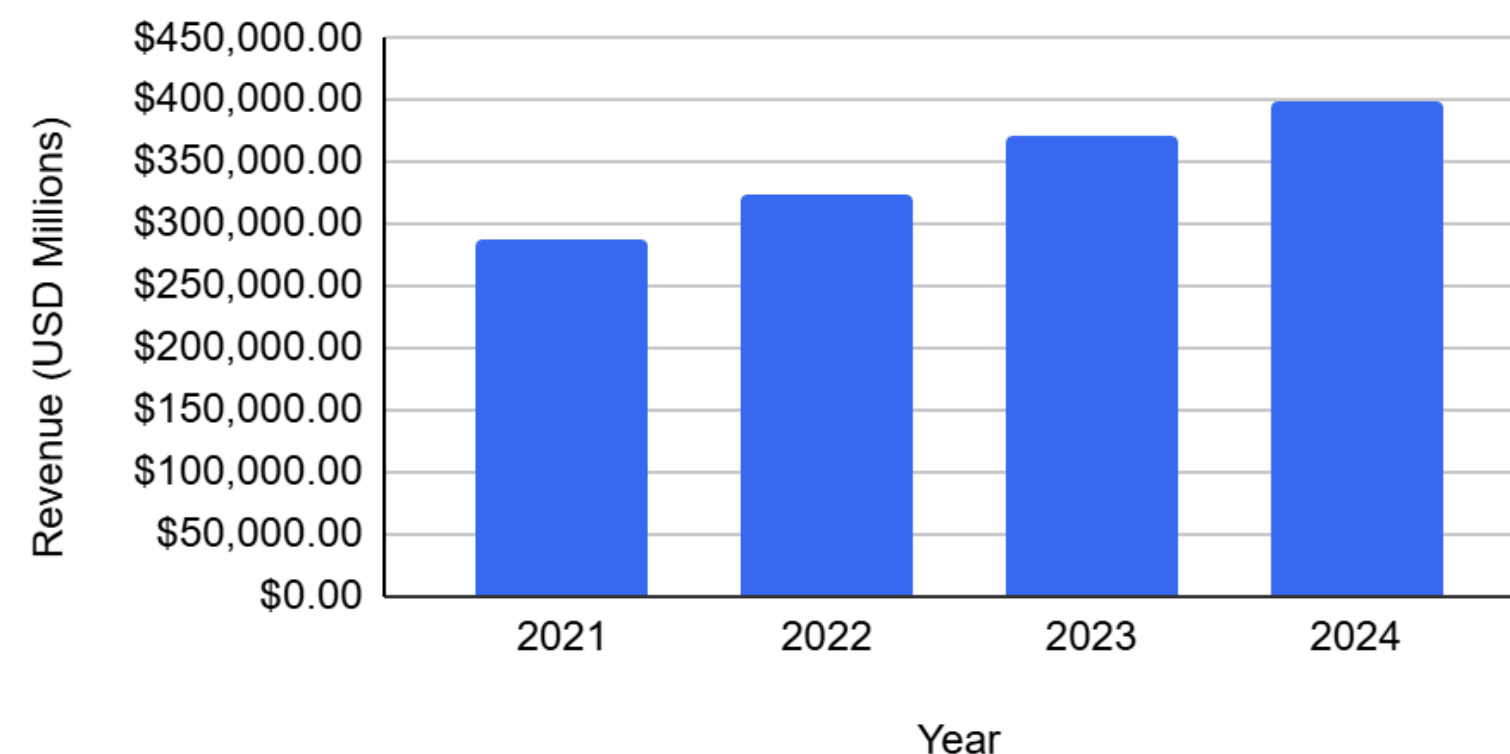
UnitedHealthcare - A leading health benefits provider offering diversified insurance plans for employers, individuals, and families.

Income Statement - Horizontal Analysis

This analysis examines the income statement evolution from 2021 to 2024

Year	NetSales (USD)	Gross Profit (USD)	Operating Income (USD)	Net Income (USD)	Net Margin (%)	Operating Margin (%)	Gross Margin (%)
2021	\$287,597	\$69,652	\$23,970	\$17,285	6,01%	8,33%	24,22%
2022	\$324,162	\$79,617	\$28,435	\$20,120	6,21%	8,77%	24,56%
2023	\$371,622	\$90,958	\$32,358	\$22,381	6,02%	8,71%	24,48%
2024	\$400,278	\$89,399	\$32,287	\$14,405	3,60%	8,07%	22,33%

Revenue Growth (2021–2024)



- Strong revenue growth over the period (+39%)
- Operating income remains relatively stable
- Significant decline in net income in 2024
- Gap emerging between revenue growth and bottom-line profitability

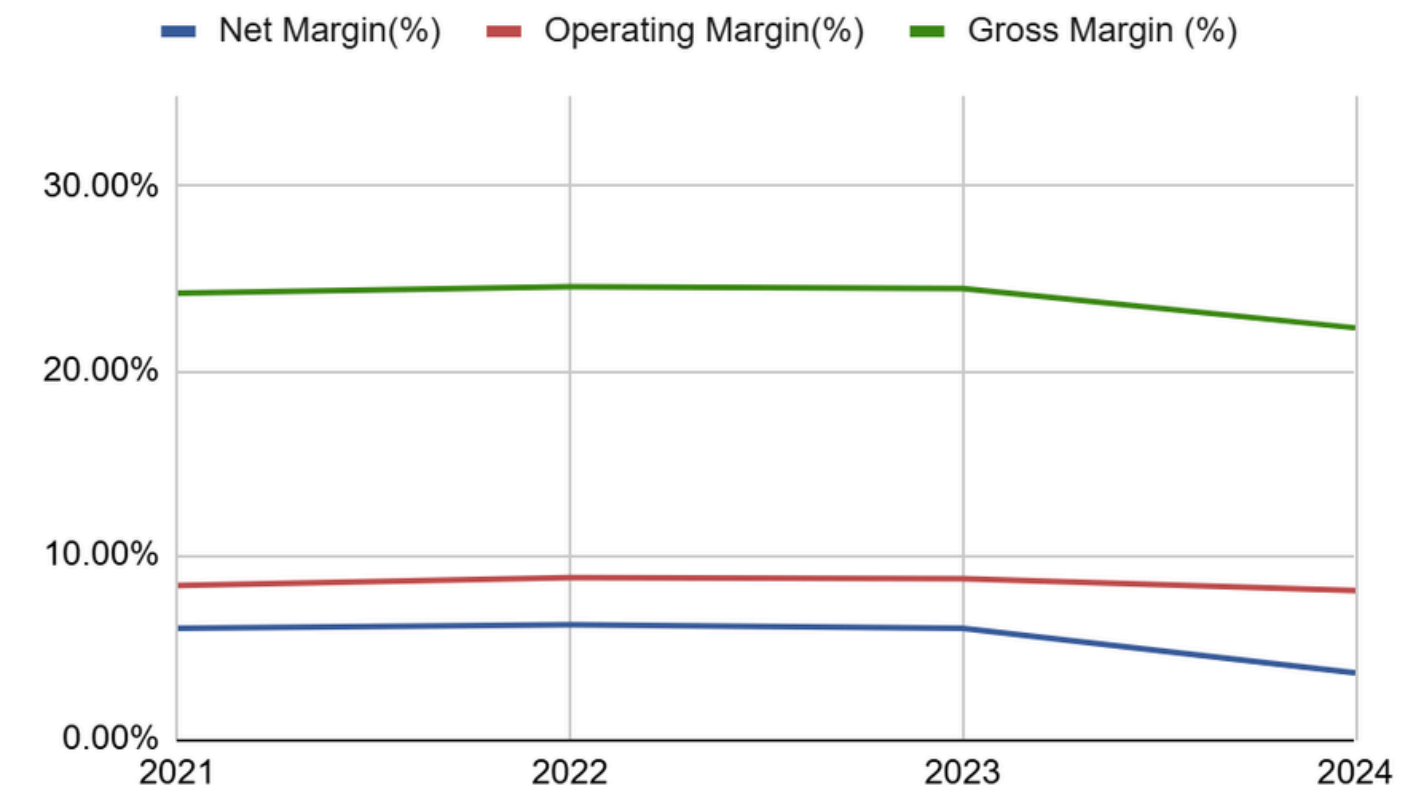
Strong revenue growth confirms structural expansion; however, 2024 highlights a clear divergence between revenue growth and net profitability.

Income Statement - Vertical Analysis (Margins)

Year	Net Sales (USD)	Gross Profit (USD)	Operating Income (USD)	Net Income (USD)	Net Margin (%)	Operating Margin (%)	Gross Margin (%)
2021	\$287,597	\$69,652	\$23,970	\$17,285	6,01%	8,33%	24,22%
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- Gross margin relatively stable
- Operating margin controlled around 8%
- Net margin declined sharply in 2024
- Profitability pressure concentrated at the bottom line

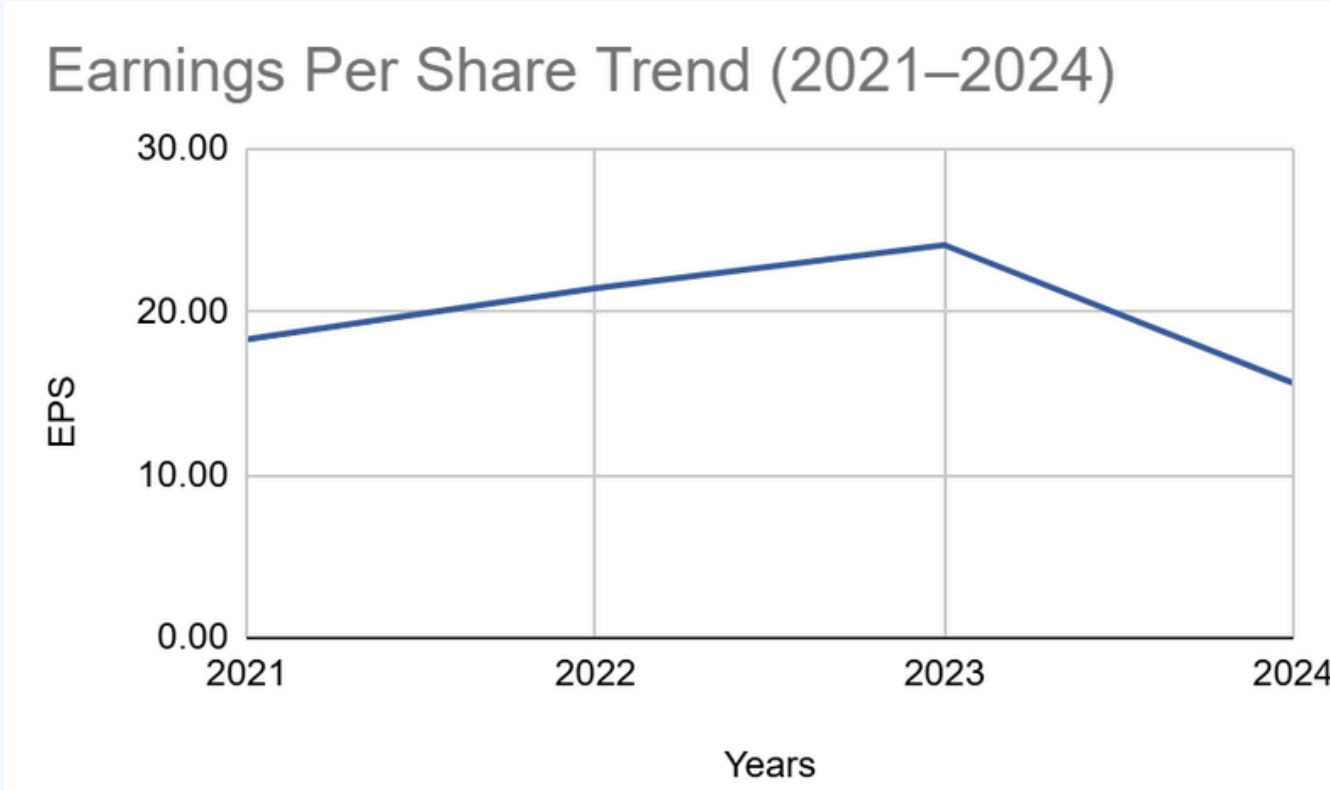
While operating margins remain stable, the sharp decline in net margin in 2024 reflects increasing cost pressures and non-operational impacts



Operational Profitability vs Shareholder Returns

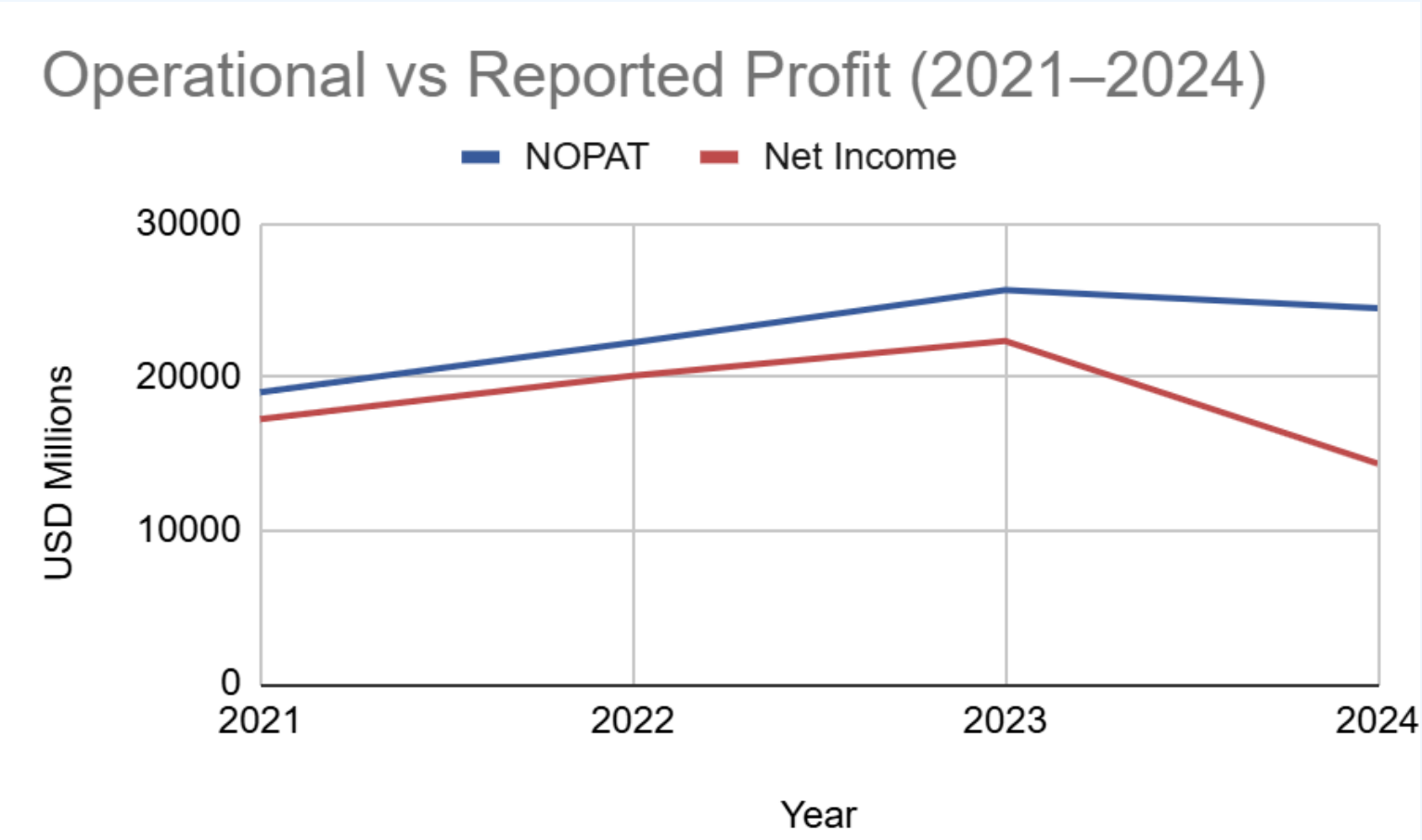


Year	EPS	NOPAT
2021	18.33	19,051
2022	21.47	22,278
2023	24.12	25,725
2024	15.64	24,519



- NOPAT increased steadily until 2023 and declined only slightly in 2024
- EPS fell sharply following the earnings contraction
- The widening gap between NOPAT and Net Income suggests non-operational pressures

Core operating performance remains resilient, but the decline in net income and EPS indicates that external and financial factors significantly affected shareholder returns in 2024.





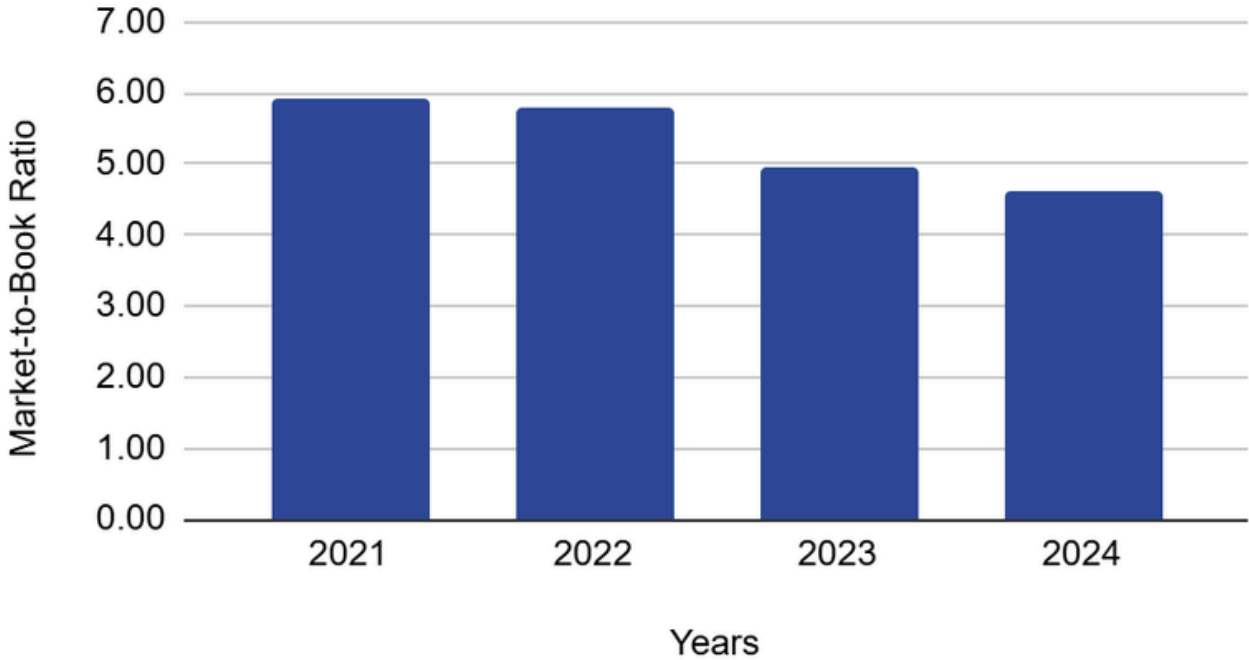
Asset Structure & Investor Valuation



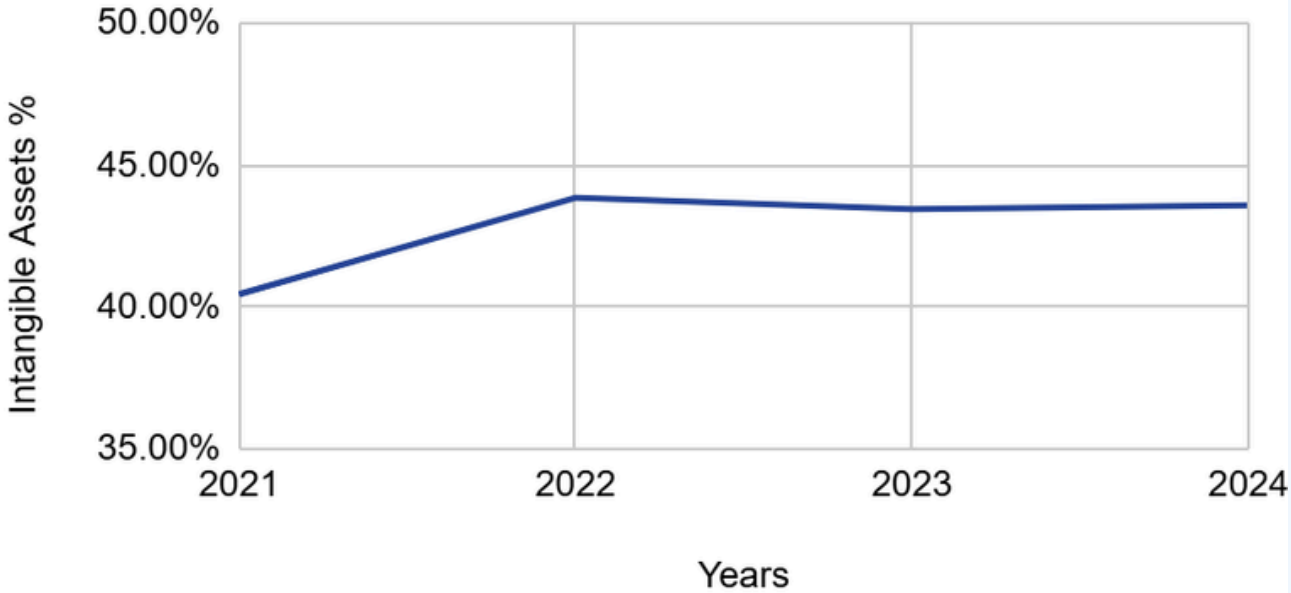
Year	Intangible assets % over all Assets	Market-to-Book Ratio
2021	40,45	5,92
2022	43,85	5,77
2023	43,45	4.97
2024	43,58	4.63

- Intangible assets increased from 40.45% (2021) to 43.58% (2024)
- Asset structure remains heavily driven by goodwill and acquisitions
- Market-to-book ratio declined from 5.92 to 4.63
- Market valuation adjusted following earnings volatility in 2024

Market-to-Book Ratio Trend (2021–2024)



Intangible Assets as a Percentage of Total Assets (2021–2024)



The high proportion of intangible assets reflects an acquisition-driven strategy, while the declining Market-to-Book ratio signals increased investor caution following earnings volatility.



Balance Sheet Summary: Expansion & Leverage



Assets The Growth Engine

- Huge Growth: The company's total assets grew by more than 40%.
- New Purchases: They spent over \$44 billion buying other companies like Change Healthcare.
- Shift in Value: Almost half of what the company owns is now "intangible" (value from brand and data rather than physical buildings)

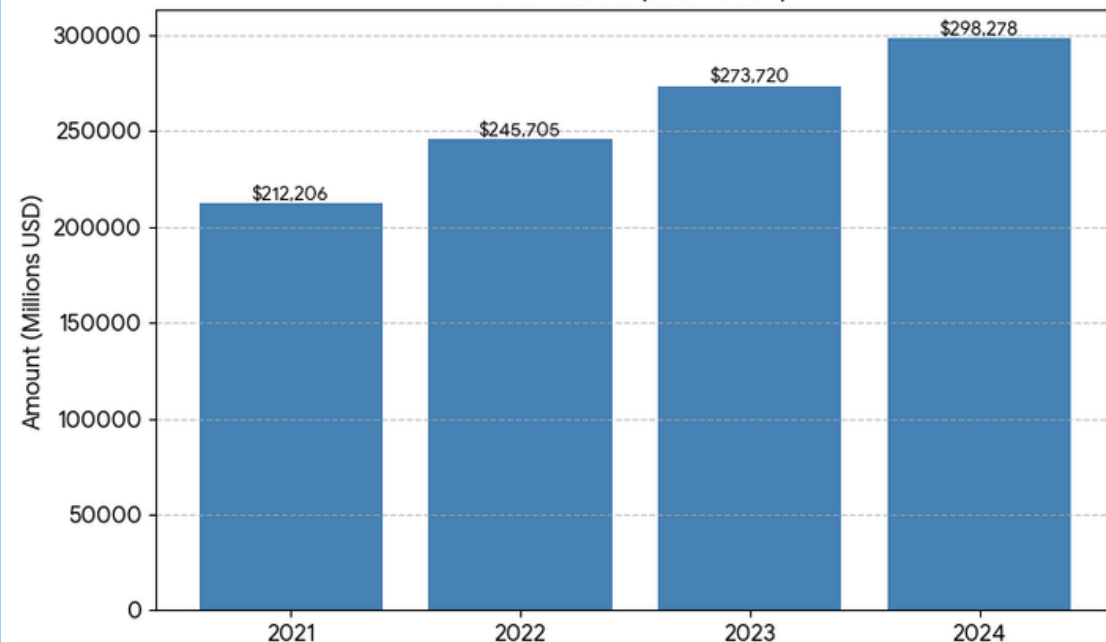
Liabilities The Funding Strategy

- Rising Debt: To pay for all that growth, the company took on 70% more long-term debt.
- Recent Spike: Debt jumped in 2024 to help the company grow and to handle costs from a major cyberattack.
- Borrowing Strategy: The company is relying heavily on borrowed money to expand its reach.

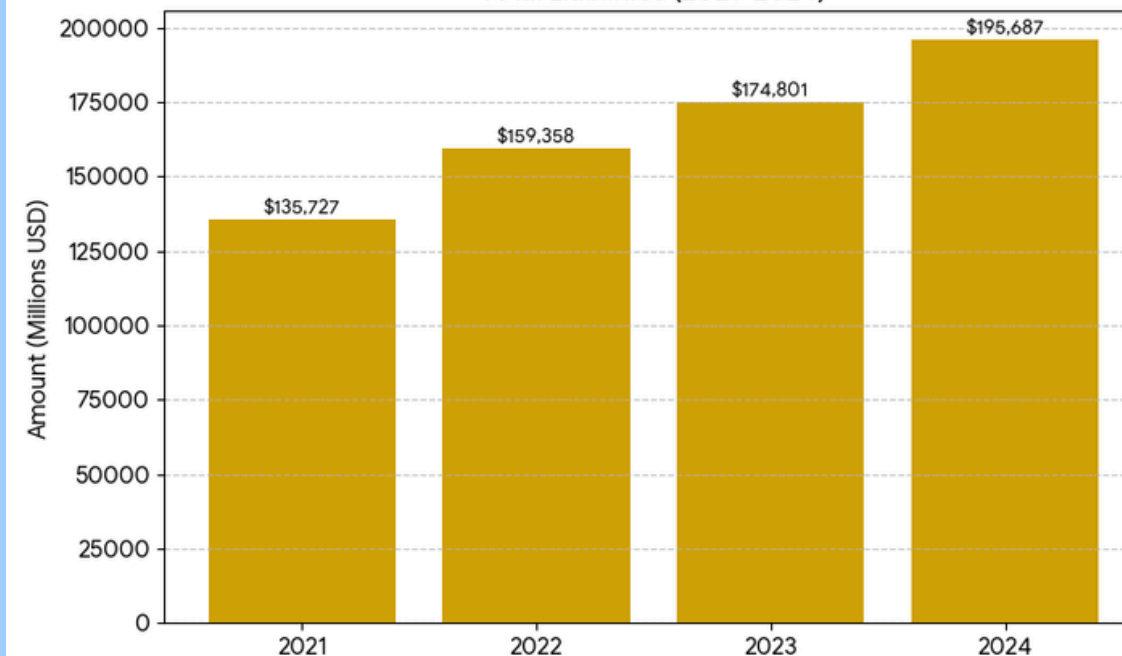
Equity The Foundation

- Staying Strong: Even with more debt, the company's total value remains very high at \$98.3 billion.
- Reinvesting Profits: This value stays strong because the company keeps putting its profits back into the business.
- Safety Net: The growing equity acts as a cushion to protect the company while it carries more debt.

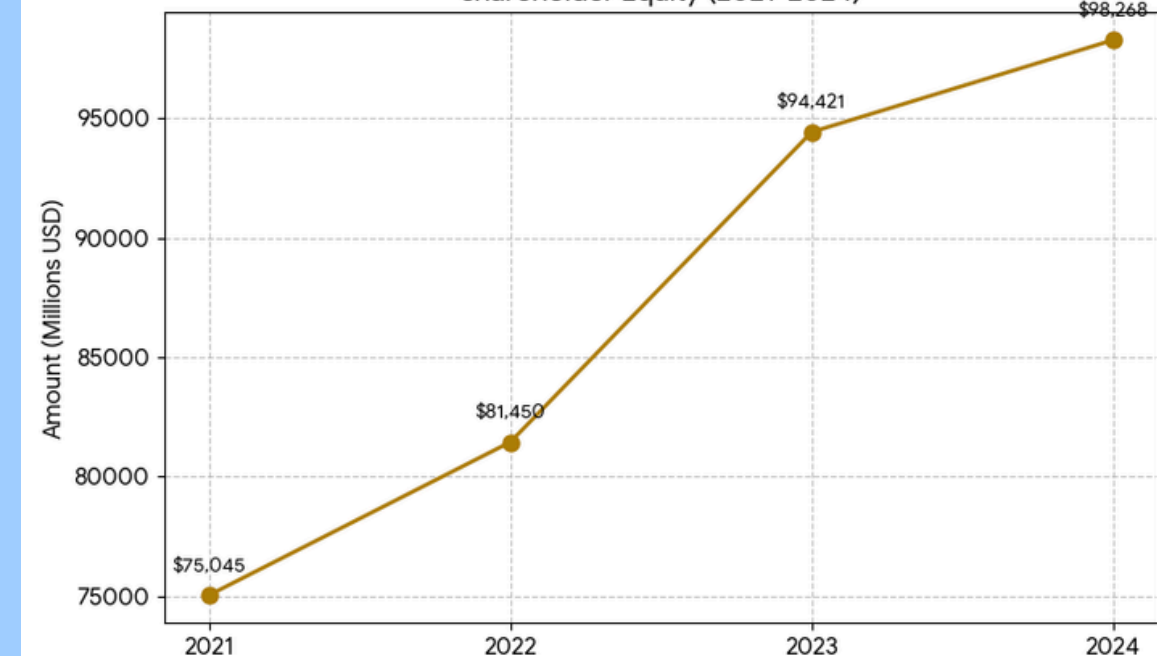
Total Assets (2021-2024)



Total Liabilities (2021-2024)



Shareholder Equity (2021-2024)

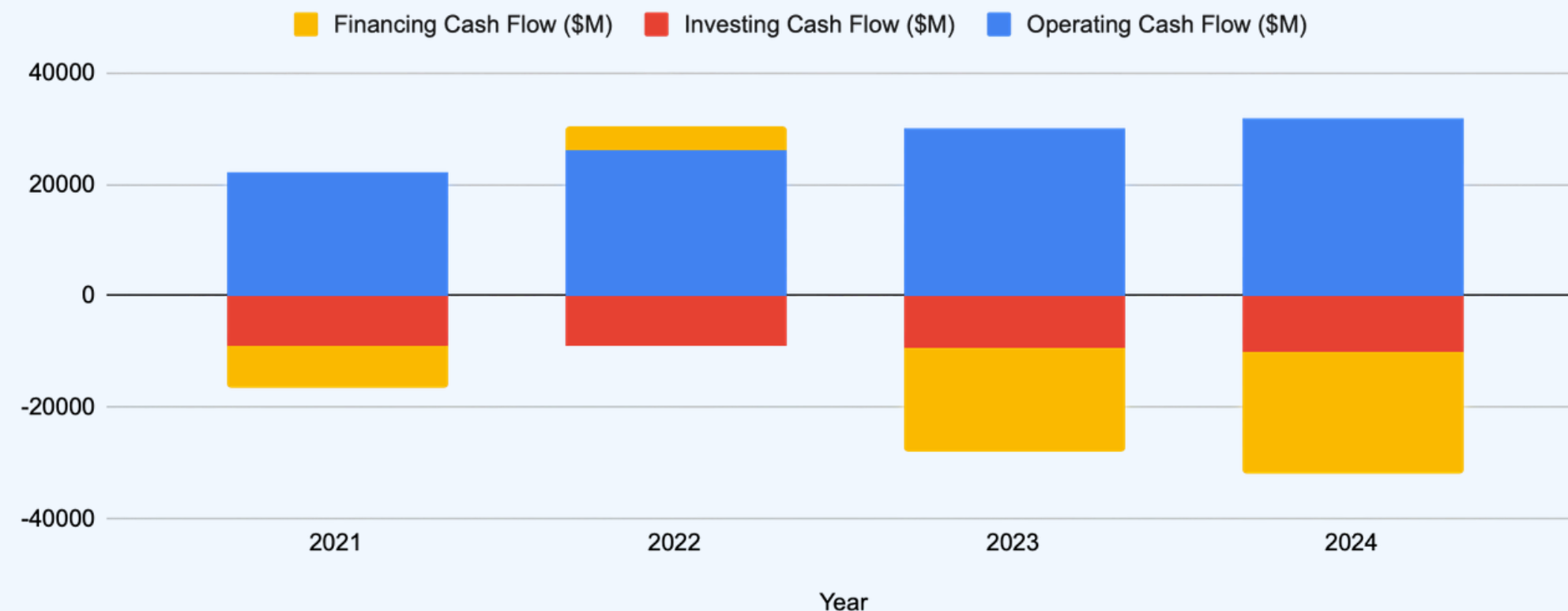


Cash Flow Statement Summary - Strategic Capital Allocation



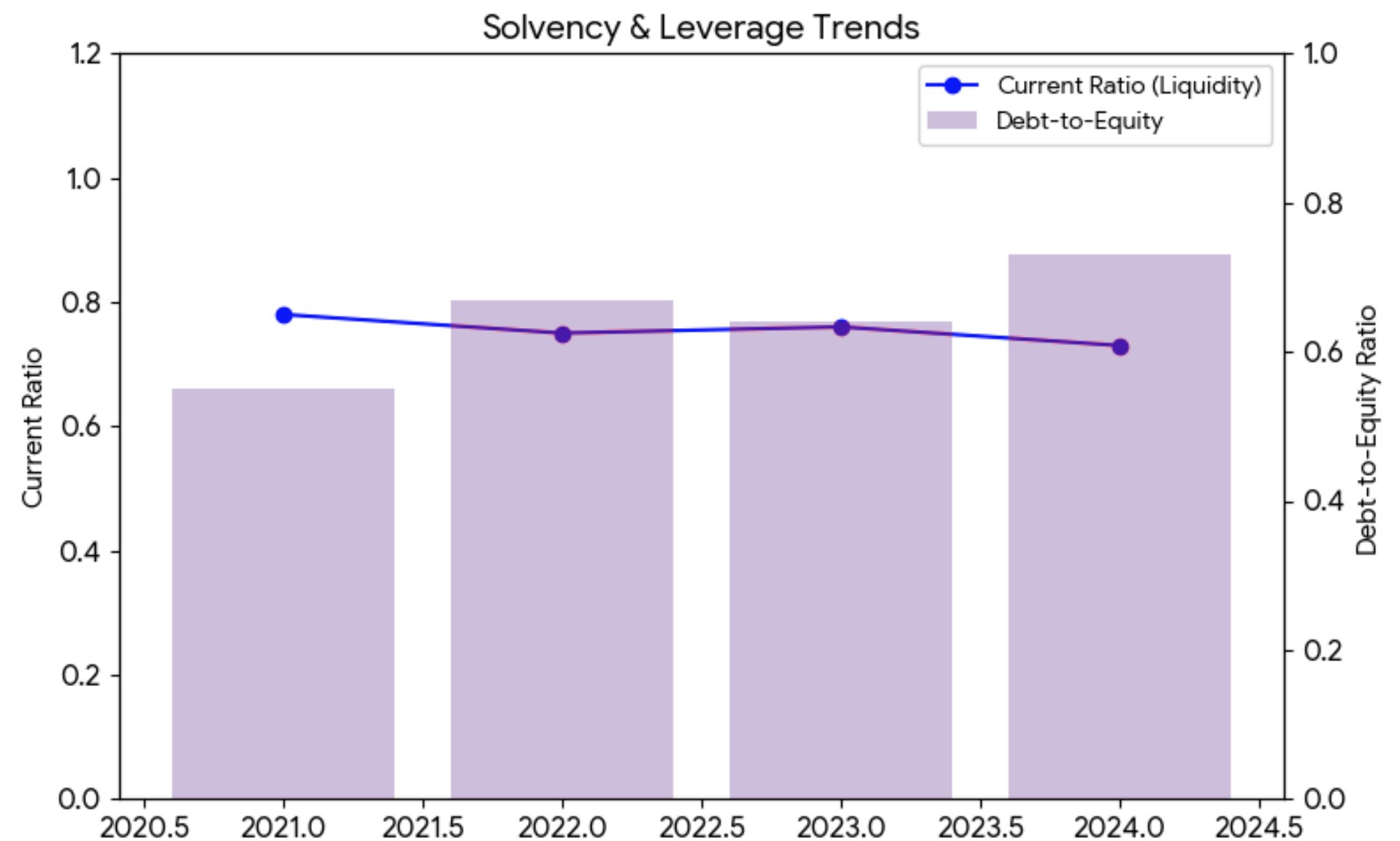
- **Self-Sustaining Growth:** The company generates operating cash to cover its entire investment budget (\$10.3B) while still having a massive surplus for shareholders.
- **The 2022 Financing Spike:** 2022 stands out as the year with positive financing cash flow (+\$4.2B), due to strategic debt issuance to fund major acquisitions while maintaining a liquidity buffer.
- **Operational Resilience:** Despite the 2024 dip in net income, Operating Cash Flow grew 6% year over year to a record \$31.9B. This shows the strength of the underlying business model despite accounting-level pressures.

Operating Cash Flow (\$M), Investing Cash Flow (\$M) and Financing Cash Flow (\$M)



Solvency & Leverage Ratios

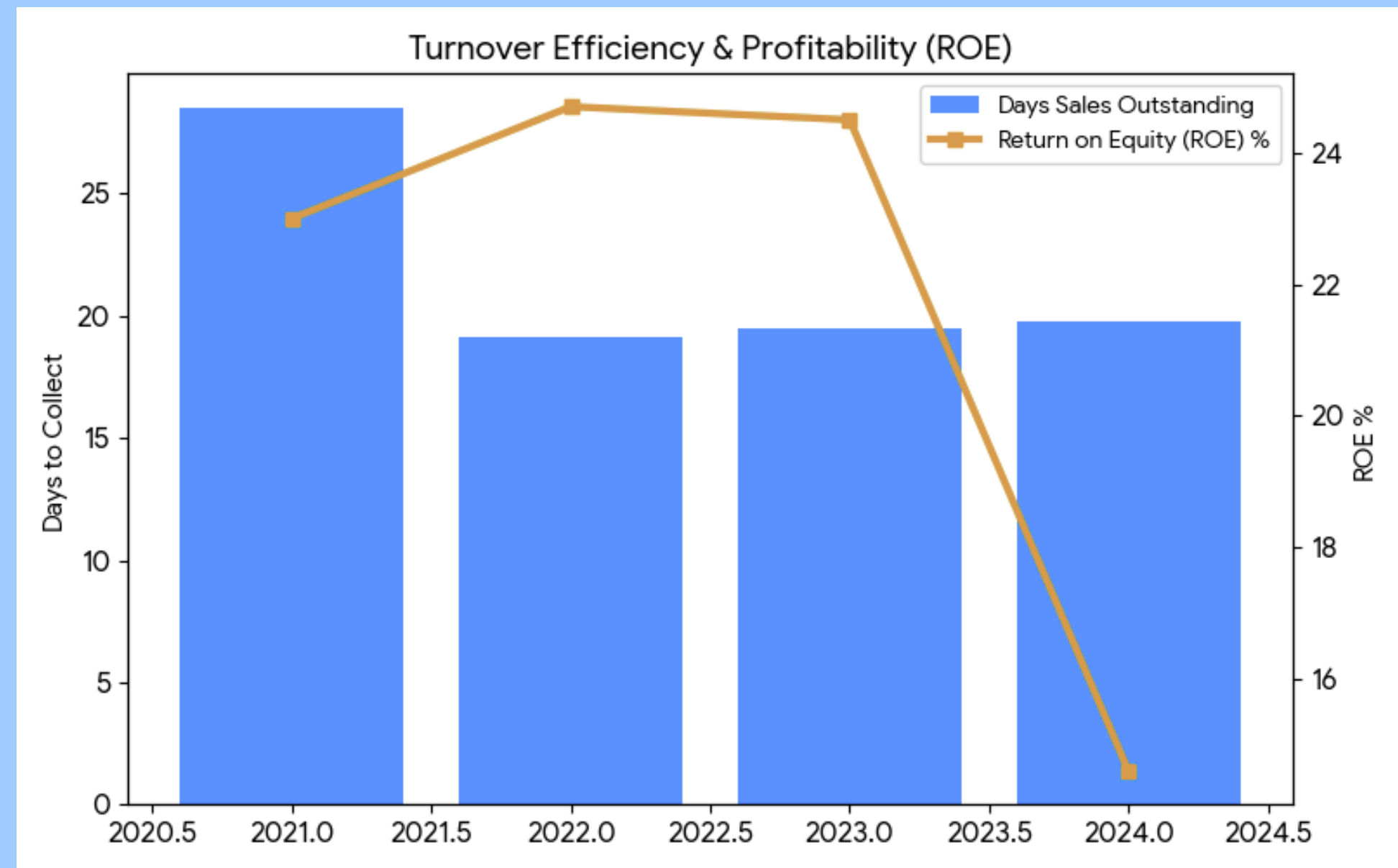
- **Increasing Leverage:** The Debt-to-Equity ratio rose from 0.55 in 2021 to 0.73 in 2024, reflecting a shift toward debt-financed inorganic growth (acquisitions).
- **Liquidity Buffer:** The Current Ratio has remained relatively tight (below 1.0), which is typical for insurance models, but 2024 saw a slight squeeze due to higher short-term obligations.
- **Capital Structure:** Management is leveraging a strong balance sheet to fund expansion, but interest-bearing debt now requires closer monitoring relative to cash flow.



Turnover & Profitability Ratios

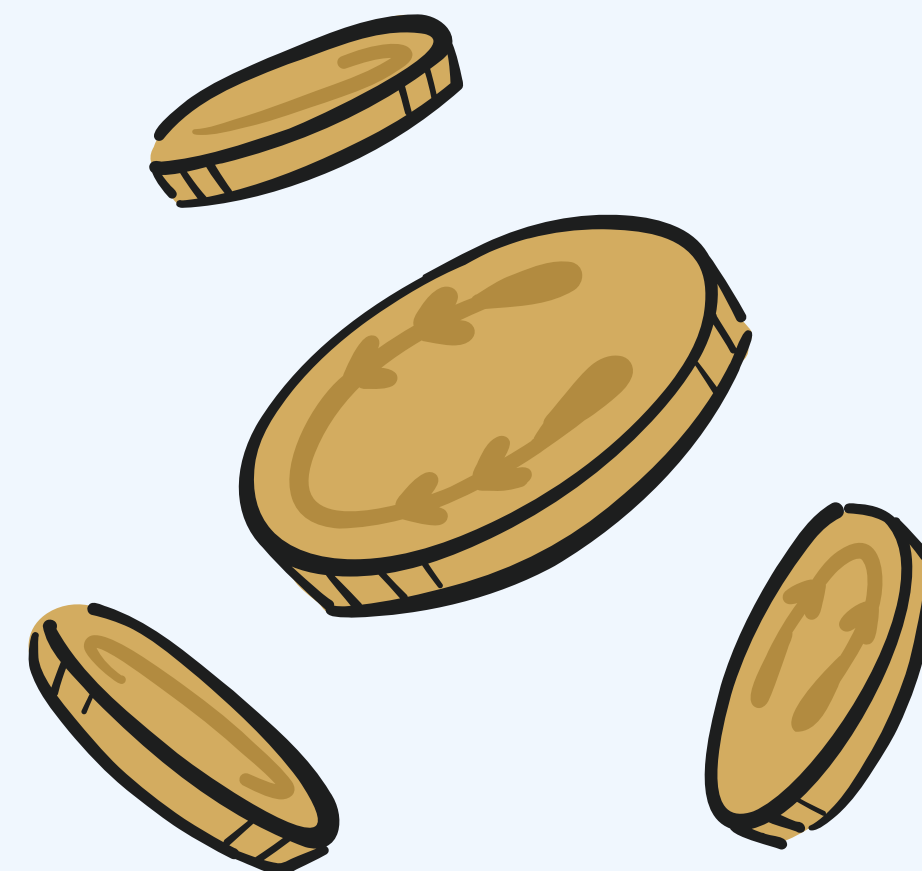


- **Operational Efficiency:** Days Sales Outstanding (DSO) improved from 28.5 days in 2021 to a stable 19-20 days thereafter, indicating tighter credit policies and faster cash collection.
- **Profitability Impact:** Return on Equity (ROE) was consistently strong (above 23%) until 2024, when it fell to 14.6% following a net income hit from the cyberattack and rising medical costs.
- **Scale Advantage:** Turnover ratios remain healthy, showing that the underlying "Optum + UnitedHealthcare" integration is moving volume effectively through the system.



Conclusion - Resilience Amidst Turbulence

- **Structural Strength:** Despite a sharp decline in 2024 Net Income (down to \$14.4B from \$22.4B), the company's "operational engine" remains robust, evidenced by a 43% increase in operating cash flow since 2021.
- **Exceptional vs. Structural:** The 2024 performance dip was driven by non-recurring events, the \$2B Change Healthcare cyberattack, and a temporary spike in Medicare Advantage utilization.
- **Market Dominance:** UNH maintains a powerful vertically integrated model that provides a significant competitive moat through data analytics and clinical scale.



Recommendations



- **Operational discipline:** Prioritize cost control and stabilize the MCR to recover historical margins of 8.7%.
- **Inorganic growth:** Monitor recent acquisitions (43.6% in intangible assets) to ensure synergies and avoid future impairments.
- **Cybersecurity:** Increase investment in digital infrastructure after the 2024 data gap to protect technology platforms.
- **Valuation opportunity:** The drop in the Market-to-Book ratio (5.92 to 4.63) suggests a potentially attractive opportunity for long-term investors.
- **Shareholder value:** Sustained dividend growth and aggressive share buybacks (more than \$21 billion in 2024) strengthen value creation.

"Hold/Accumulate"

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Thank you for your attention

